Paras Defence and Space Technologies Ltd

Concall Tracker · Q1-2027 update · Prepared 6 Nov 2026 · Ticker: PARAS · Builds on the Q4-2026 report · NO-CONCALL PATH

No concall transcripts were available on Screener. This report is based on a global web deep-dive of the Q1 FY27 results coverage, exchange-filing news and order announcements published up to 30 Sep 2026, plus Screener's financial tables. A broker note says management doesn't hold calls regularly.

1. Snapshot

What the business does: Paras makes military-grade optics and optronics (lenses plus electronic vision systems such as thermal sights and periscopes), defence electronics, heavy precision parts like rocket body tubes, electromagnetic-pulse (EMP) shielding, and drones and anti-drone systems. Its main buyers are ISRO, DRDO (the defence research labs), BEL, the armed forces and the Ministry of Defence, with a small export slice.

Number	Value	What it means
Market value	~₹10,000 cr	What the market values the whole company at, about where it was in July.
Price-to-earnings (P/E)	~103x	You pay about ₹103 per ₹1 of yearly profit. Very expensive, and it assumes years of fast growth.
Q1 FY27 revenue (consolidated)	₹128 cr	Sales for Apr-Jun 2026, up about 37% from ₹93 cr a year ago. Lower than the record ₹171 cr of Q4, which is the usual pattern since Q1 is a slow quarter for government billing.
Q1 FY27 net profit	~₹21 cr	Up roughly 40% on last year's ₹15 cr. Profit grew a bit faster than sales.
EBITDA margin	~25%	EBITDA is operating profit before interest, tax and wear-and-tear. About ₹25 of it per ₹100 of sales, up a little from ~24% a year ago.
Return on capital (ROCE)	~17%	Earns about ₹17 a year on every ₹100 of capital. Decent and steady.
Promoter holding	53.2%	Founders' stake has held flat for the past several quarters, after falling from ~59%. The selling has stopped for now.

2. Coverage

NO-CONCALL PATH. Sources this quarter: Upstox, DSIJ, Cofacto (Q1 FY27 result analysis, 7 Aug 2026) and Kotak Neo results coverage; Arihant Capital and Angel One (BEL order, 2 Jun 2026); Business Today (Northstar agreement, 4 Jun 2026); Screener tables. Earlier history (FY21-FY26) is carried forward from the Q4-2026 report.

Latest update highlights - Q1 FY27 (results announced 7 Aug 2026)

- **Growth kept going.** Revenue ₹128 cr (+37% YoY), profit ~₹21 cr (+40%). Below Q4's record, as expected for a first quarter.
- **Optics led.** Optics & optronics revenue rose about 62% YoY, but its margin fell sharply, from ~52% to ~38%, partly from costlier imported material. Defence engineering's margin improved a lot. Overall margin held near 25%.
- **New orders and tie-ups:** a ₹53 cr electro-optics order from BEL (2 Jun, delivery by Sep 2027) and a 10-year agreement with US firm Northstar (4 Jun).

- **Portfolio moves:** board approved selling its whole 47.5% stake in associate Krasny Paras, and put money into two new subsidiaries, Paras Semiconductors and Paras Avionics.
- **No order-book update** was found in the Q1 coverage. The last confirmed figure is ~₹986 cr at end FY26. One unverified source says it crossed ₹1,000 cr by June.

Business mix & capacity. FY26 order-book mix was about 55% optics, 35% defence engineering and 10% anti-drone. Domestic vs export split **not disclosed**; overwhelmingly Indian government customers. Capacity utilisation **not disclosed**; the company is building a large optics park in Navi Mumbai, so it's adding capacity ahead of demand.

Since our last report

Builds on the Q4-2026 report (Q4 FY26 results, ~13 May 2026). Prior verdicts: trigger **YES**, consistency **YES**.

Prior read	What we said then	What's new	Movement
Trigger: YES	Order book converting to sales.	Another +37% quarter, the 9th straight quarter of double-digit YoY growth.	Confirmed
Consistency: YES	Guided ~30% growth, delivered.	Q1 growth is in line with the 30-40% FY27 talk.	On-track
Promoter stake trimming	Fell from ~59% to ~53%.	Flat at 53.2% through Jun 2026.	Improving
Margin vs ~27% target	FY26 margin 25%, a touch short.	Q1 ~25%; optics margin squeezed by input costs.	Unchanged
Anti-drone leadership by FY27	Too early.	No big new anti-drone order found this quarter.	No news

Verdict change: both verdicts **unchanged at YES**. Q1 kept the growth line intact.

3. Earning-trigger thesis

The driver is the same: a growing order book in defence and space optics and engineering, fed by India buying more of its defence kit at home. Paras is the only Indian maker of infrared optics at scale and ISRO's main optics supplier. That order book keeps turning into sales, and Q1 FY27 showed it again. The things to watch are the optics margin squeeze and whether the order book keeps growing, since no fresh number came out this quarter.

Trigger	What the record says	Evidence so far	Horizon	Strength	Change since last report
Order book → revenue	~₹986 cr at FY26; pipeline ₹2,000-3,000 cr; target ₹2,500 cr by FY28.	Q1 revenue +37%.	Now - 3 yrs	Strong	unchanged
Optics moat + optics park	Only Indian large-scale infrared optics maker.	Optics revenue +62% in Q1; margin down.	2-5 yrs	Moderate-Strong	↑ volume, ↓ margin
Anti-drone	Aims to lead India by FY27.	No major new order found.	1-3 yrs	Moderate	unchanged

New subsidiaries / tie-ups	Semiconductors, avionics; Northstar deal.	Just started.	3+ yrs	Unproven	New

4. Management-consistency scorecard

Period	What was said	What happened	Verdict
FY25	Strong double-digit growth	Revenue +44%	Delivered
FY26	~30% growth, ~27% margin	Revenue +31%, margin 25%	Delivered (margin partly)
FY27 (so far)	30-40% growth talk	Q1 +37%	On-track
Optics park	India's first optical systems park	Still being built	Too-early
Anti-drone by FY27	Market leader	Small so far	Too-early

Narrative drift: none worth flagging. Same core story of order book, home manufacturing and optics. The new semiconductor and avionics subsidiaries widen it a bit, but they're small bets on the side. Selling the Krasny Paras stake looks like tidying up rather than a change in direction.

5. Bottom line

Durable earning trigger? → YES vs last quarter: unchanged

Q1 FY27 showed another strong year-on-year jump, which keeps the trigger intact. The order book is still turning into sales and the optics business grew fastest. What's missing is a fresh order-book number and a reason for the optics margin drop. Neither breaks the thesis.

Management consistent? → YES vs last quarter: unchanged

They're running in line with what they've signalled, and the earlier worry about promoters selling has paused. The margin is still a touch under the ~27% they once pointed to. No calls means less direct accountability, so this read leans on numbers more than words.

NO-CONCALL web deep-dive, information published up to 30 Sep 2026. Sources: Upstox, DSIJ, Cofacto, Kotak Neo Q1 FY27 coverage; Arihant Capital/Angel One (BEL order); Business Today (Northstar); Screener.in tables; Q4-2026 concall-tracker report. Not investment advice. Do your own due diligence.